Avalon Technologies Ltd

Concall Tracker - Q1 FY27 update | NSE/BSE: AVALON | Report date: 06 November 2026 | Latest call read: Q1 FY27 (05 Aug 2026)

This picks up from our Q4-2026 report on Avalon. We read the one new earnings call (the "concall") in full and check two things again. Is there a real reason profits should keep growing? And is management doing what it said?

1. Snapshot

What the business does: Avalon is a contract electronics maker (EMS). Other companies design a product and Avalon builds it: circuit boards, cables, metal parts and, more and more, the whole finished unit ("box-build"). Customers make industrial equipment, battery-storage systems, trains, aircraft parts and, lately, chip-making machines. It has factories in India and the US. New customers usually start in the US plant and then move work to cheaper India once they trust Avalon.

Figure	Value	Plain-English read
Market capitalisation	₹12,661 crore	What the company is worth on the market at scrape time (Nov 2026). The share (₹1,894) is well off its ₹2,620 high.
Price-to-earnings (Screener)	133x	Buyers pay about ₹133 for every ₹1 of yearly profit. That's very expensive, and it means the price already assumes years of fast growth.
Q1 FY27 revenue (consolidated)	₹484 crore	Sales for Apr–Jun 2026, up 50% on a year ago. Slightly above the record Q4, in a quarter that's usually soft. (Screener's table shows the India-only standalone figure, ₹211 crore.)
Q1 EBITDA	₹58 crore (12.0%)	Operating profit before interest, tax and depreciation. The margin rose from 9.2% a year ago, so each rupee of sales now earns more.
Q1 net profit	₹35 crore	Up about 145% from ₹14 crore. Profit grew roughly three times as fast as sales.
Return on capital (ROCE)	23.4%	The business earns about ₹23 a year on every ₹100 tied up in it. It was about 10% two years ago.
Net debt	₹24 crore	Next to nothing. Debt of ₹196 crore is almost covered by ₹171 crore of cash.

2. Concall coverage

Quarter	Call date	How it was read
Q4 FY23 → Q3 FY26 (10 calls)	Jun 2023 – Feb 2026	Carried forward from the Q4-2026 report
Q4 & FY26 (prior boundary)	07 May 2026	Carried forward from the Q4-2026 report
Q1 FY27 (Apr–Jun 2026)	**05 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this time. The history comes from the prior report, which covered about three years of calls.

★ Latest concall highlights - Q1 FY27 (call held 05 Aug 2026)

- **Guidance raised again.** FY27 revenue growth goal moved up from 24–27% to 26–30%, after a 50% jump in Q1. *Read: same habit as last year. They start low and keep nudging it up.*
- **Doubling target already hit.** Trailing 12-month sales passed the FY24→FY27 doubling goal (~₹1,734 crore) about a year early. The new goal is ~₹3,200 crore by FY29. *Read: last big promise kept, next one set.*
- **Order book ₹2,208 crore, up 23%.** That's about 14 months of work. Another ₹1,256 crore of contracts runs 15–36 months out. *Read: most of the next year's sales are already booked.*
- **New lines starting to bill.** Revenue from chip-making equipment and HVDC power systems began this quarter. Avalon also won a bigger share with a top wafer-equipment supplier and more box-build work from an aerospace firm. A new Chennai plant for Indian customers starts production in Q2. *Read: the "future verticals" from earlier calls are now real, if still small.*
- **Spending more.** It's buying a large plot of land in Chennai and hiring five or six VP-level leaders, so capex will run above the usual ₹50–60 crore a year. US plant losses shrank to about ₹4 crore, with EBITDA break-even aimed for the end of FY27. *Read: they're building ahead of growth, which can dent returns for a while.*

Tone: confident and a little impatient with quarter-by-quarter questions. "We are conservative" came up several times when analysts asked why guidance wasn't higher.

Business mix & capacity (quick-glance panel)

Domestic vs export: In Q1 FY27 India was **41%** of revenue and exports **59%**. India grew 53% and exports 48%. By factory, India made **72%** (at a 16.7% EBITDA margin) and the US 28%. Management wants the US share to settle near 20%. *Read: well spread between home and abroad, and the profit comes from the India plants.*

Capacity: No utilisation figure given. Asset turns are 9.9x, meaning ~₹10 of sales for every ₹1 of plant. Management targets 8–10x. *Read: still running lean, but new land and a new plant will pull that number down for a while.*

★ Since our last report

Builds on the **Q4-2026 report** (boundary call 07 May 2026, read from web sources then). Prior verdicts: **Trigger YES** · **Management consistent YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: box-build, dual-shore, new verticals, margin gains	Strong, playing out	Sales +50%, box-build ~60%, EBITDA margin 12%, PAT +145%	Confirmed
FY27 guidance 24–27%	Conservative	Raised to 26–30% after one quarter	Improving
Semicon equipment volumes "from FY27"	Too early	Revenue started in Q1, ramp over the next few quarters	On-track
US break-even by late FY27	Slower than hoped	Loss down to ~₹4 crore, EBITDA break-even still aimed for end-FY27	On-track
Capex-light, ₹50–60 crore a year	Delivered	Large Chennai land buy coming, capex will rise	Changing (watch)

Management consistency	Yes, earned back after FY24	Another beat and raise	Confirmed

Verdict change this quarter: both verdicts stay at **YES**. The one new thing to watch is the step-up in spending.

3. Earning-trigger thesis ★

The engine is the same and it's running hot. Avalon keeps taking on more of each product (from a circuit board up to the whole box), builds most of it in low-cost India, and spreads its fixed costs over fast-rising sales. New work in chip-making equipment, aerospace, rail and power systems is starting to show up in revenue. The order book covers most of the next year. The risk is mostly price: at 133 times earnings, any slip will hurt the share even if the business is fine.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Box-build mix shift	Aim to build the whole unit for each customer within 2–3 years	59.9% of Q1 revenue, up from 44.5% in FY22	Ongoing	Strong	↑ improving
Make in India, start in US	US is where customers start, India where they scale	India plants at 16.7% margin, US loss down to ₹4 crore	1–2 yrs	Strong	unchanged
New verticals (chip equipment, HVDC, aero, rail, Kavach)	Ramping over the next few quarters	Revenue started in Q1, bigger allocation with a wafer-equipment leader	FY27–FY29	Moderate–Strong	↑ improving
Margin gains with scale	About half of overheads are fixed	EBITDA margin 9.2% → 12.0% in a year	Now	Strong	↑ improving

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23 call (May 2023)	FY24 growth of 25–30%	FY24 fell 8% when US customers cut orders	Missed
FY24 calls	Recovery in FY25	FY25 +27%, FY26 +46%	Delivered
FY23 onward	Double revenue FY24 → FY27	Done about a year early	Delivered (early)
Q4 FY26 (May 2026)	FY27 growth 24–27%	Raised to 26–30% after Q1 grew 50%	Beat so far
Q4 FY26 (May 2026)	Gross margin 33–35%	34.7% in Q1	Delivered
Q4 FY26 (May 2026)	Working capital at 120–130 days	117 days	Delivered
Earlier calls	Semicon volumes from FY27	Billing started in Q1 FY27	Delivered (on time)
Earlier calls	Stay capex-light at ₹50–60 crore a year	Big Chennai land buy now planned, capex will rise	Too early

Narrative drift: Very little. The story has been the same for two years: box-build, India plus US, steady gross margin, high asset turns, double every three years. This call added detail rather than changing direction. The only shift is that "capex-light" is being stretched by a land purchase for the next decade, and a new product area is due to be announced within two quarters. Both are worth watching, but neither breaks anything said before.

5. Bottom line - two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Q1 made the case stronger. Sales grew by half, profit more than doubled, margins widened, and the new chip-equipment and power-system work started billing on the date promised. With most of the next year's sales already in the order book, the driver is concrete and showing up in results. The catch isn't the business. It's the share price, which already bakes in a lot of this.

Management consistent? → YES vs last quarter: unchanged

Another quarter of doing what they said: guidance raised, margin and working-capital targets met, a vertical promised for FY27 started on time. They still have the FY24 miss on the record, but two years of beating their own numbers since then is a solid answer. The thing to watch is whether the heavier spending on land and leadership keeps returns where they are.

Sources: Avalon Technologies Q1 FY27 earnings-call transcript (05 Aug 2026, via Screener.in). Prior Q4-2026 concall-tracker report (calls Jun 2023 – May 2026). Screener snapshot at scrape time. Figures are consolidated as stated by management unless marked Screener. Calls held after 30 Sep 2026 were not read. Educational read-through, not investment advice.